# Resignation and Termination Policy

Beendigung des Arbeitsverhältnisses – Leaving Norvane Systems

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| **Owner** | Julia Neumann, HR Director |
| **Approved by** | Lukas Brandt, Managing Director (Geschäftsführer) |
| **Consulted** | Thomas Bauer, Works Council Chair (Betriebsrat); Dr. Nadia Petrov, General Counsel and Data Protection Officer |
| **Applies to** | All employees of Norvane Systems GmbH at all sites, and all managers who take part in disciplinary or termination decisions |
| **Classification** | Internal |
| **Language** | English. A German version is available from HR on request. |

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# 1 Purpose and scope

This policy describes our procedures for resignation and termination. It also describes the progressive discipline process, which may in some cases lead to termination. It forms part of the Employee Handbook (NS-HR-POL-005, section 8). Clear and fair processes for leaving the company reduce legal risk and avoid unnecessary harm for everyone involved.

German employment law applies to every employment relationship at Norvane Systems. Employment is not "at will": a termination by the company must follow the statutory rules and, once the Protection Against Dismissal Act (Kündigungsschutzgesetz, KSchG) applies, requires a socially justified reason. Our policy supplements the law and does not replace it. If your individual employment contract (Arbeitsvertrag) or a legal rule gives you more rights, those rights apply.

Employment ends by resignation (Kündigung by the employee), by termination by the company, by a mutual termination agreement (Aufhebungsvertrag), or by the expiry of a fixed term. All notices of termination must be in writing and signed by hand (Schriftform); emails, messages and verbal statements are not valid.

# 2 Progressive discipline

## 2.1 Principles

When an employee does not meet our expectations, we want to give them the chance to correct their behaviour whenever possible and to support them in doing so. We also want to investigate and handle serious offences thoroughly and fairly. Our progressive discipline process has six steps of increasing severity.

| Step | Measure | Who is involved | Record |
|---|---|---|---|
| 1 | Verbal warning (mündliche Ermahnung): a private conversation about the issue | Line manager | Short note by the manager |
| 2 | Documented meeting: expectations and an improvement plan are agreed | Line manager, HR | Minutes signed by both sides |
| 3 | Formal written warning (Abmahnung) describing the breach and the consequences of repetition | HR Director, Legal | Personnel file |
| 4 | Formal disciplinary meeting; transfer of tasks or other measures within the contract | HR Director, department head; a Works Council member may attend on request | Minutes, personnel file |
| 5 | Final written warning (letzte Abmahnung) | HR Director, Legal | Personnel file |
| 6 | Termination (ordinary or extraordinary), after the Works Council hearing | HR Director, Legal, Managing Director | Personnel file |

We do not impose fines or deductions from pay as disciplinary penalties.

### 2.2 Which step applies

Different offences correspond to different steps. The step depends on the severity of the breach, its consequences and the employee's previous record.

| Example | Typical entry step |
|---|---|
| Minor, one-time breach, for example of the dress code | Step 1 |
| Repeated lateness or missing notification of absence | Step 2 or 3 |
| Breach of the Information Security Policy (NS-IT-POL-001) without damage | Step 3 |
| Sexual harassment, violence, theft, fraud or serious breach of confidentiality | Step 5, or termination without warning if trust is irreparably destroyed |

Managers may skip or repeat steps only after consulting HR. We are always obliged to act fairly and lawfully and to document every step. We apply the same standards of fairness during probation, even though the statutory protection against dismissal applies only after the first 6 months of employment.

### 2.3 Your responsibilities as a manager

If you manage employees, tell them when you start a progressive discipline process. Pointing out a performance issue is not necessarily a verbal warning; it may be part of your regular feedback. If you decide that progressive discipline is appropriate, inform your team member and ask HR to explain the full procedure. Never issue a written warning or a termination on your own. Investigations of serious allegations are carried out by HR and Legal, and the employee is always heard before a decision is made.

### 2.4 Your rights as an employee

- You can bring a member of the Works Council (Betriebsrat) to a disciplinary meeting.
- You can respond to a warning in writing, and your response is added to your personnel file.
- You can inspect your personnel file on request (hr@norvane.example).
- A written warning is removed from your personnel file after 2 years if there has been no similar incident.

## 3 Resignation

### 3.1 How to resign

You resign when you inform us that you will stop working for the company. Resignation requires a written notice, signed by hand, sent to HR (hr@norvane.example, Jordan Ellis, ext. 2020). Please inform your line manager as well. We confirm receipt in writing within 2 working days and state your last working day. HR informs your line manager if you have not already done so. It is up to you whether you tell your team, but we encourage you to be open about your plans.

### 3.2 Notice periods

| Situation | Notice period | Applies to |
|---|---|---|
| During probation (first 6 months) | 2 weeks | Employee and company |
| After probation | 3 months to the end of a calendar month | Employee and company |
| Termination by the company after 10 years of service | 4 months to the end of a calendar month | Company only (statutory extension) |
| Termination by the company after 12 / 15 / 20 years of service | 5 / 6 / 7 months to the end of a calendar month | Company only (statutory extension) |

Longer notice periods in your individual contract or in a collective rule apply. A shorter period applies only if both sides agree in writing, for example in a mutual termination agreement.

### 3.3 Absence without notice

If you do not come to work for 3 consecutive working days without notice or explanation, we try to contact you. We do not treat this as a resignation. Unexcused absence leads to a written warning and, if it continues, to termination.

### 3.4 Tuition and relocation reimbursement

If we paid for your external training, studies or relocation, you may agree in a separate written agreement to stay with us for a fixed period of up to 24 months. If you resign before the period ends, you may have to repay a part of the costs. The repayment amount is reduced by one twenty-fourth for every full month of employment after the training. Repayment clauses are agreed individually before the costs are incurred and must be reasonable; HR checks each case with Legal.

### 3.5 Forced resignation

You can resign at any time of your own free will, and nobody should force you to do so. Forcing someone to resign, directly or indirectly, is not tolerated. Specifically, we prohibit employees and managers from:

- Creating a hostile or unpleasant environment.
- Demanding or persuading an employee to resign.
- Victimising, harassing or retaliating against an employee.
- Forcing an employee to resign by taking unofficial adverse actions, for example demotions or an unreasonable increase in workload.

If you feel pressured, contact HR, the Works Council, or the confidential ethics hotline (ethics@norvane.example, ext. 2650). Mutual termination agreements are offered only in writing, and you have at least 3 working days to consider and to take advice before you sign.

## 4 Termination by the company

Terminating an employee is always unpleasant but sometimes necessary. If that happens, we want to act lawfully and respectfully.

### 4.1 Grounds for termination

| Type | Typical grounds | Requirement |
|---|---|---|
| Conduct-related (verhaltensbedingt) | Breach of contract, illegal acts such as embezzlement, harassment of colleagues, serious damage or financial loss to the company | Warning (Abmahnung) first, except in very serious cases |
| Person-related (personenbedingt) | Long-term illness with a negative prognosis, loss of a required licence or permit | Careful review of alternatives; reintegration offer (BEM) after long illness |
| Operational (betriebsbedingt) | Redundancy because activities cease or tasks are reallocated within teams | Social selection (Sozialauswahl); check for other roles; Works Council consultation |
| Extraordinary (außerordentlich, fristlos) | Important reason that makes continued employment unreasonable, for example theft or fraud | Notice within 2 weeks of learning the facts |

### 4.2 Process

| Step | Action | Responsible | Timing |
|---|---|---|---|
| 1 | Decision and documentation of the reasons, warnings and records | Line manager, HR | Before any other step |
| 2 | Legal review of grounds, notice period and procedure | Legal (Dr. Nadia Petrov) | Within 5 working days |
| 3 | Hearing of the Works Council (Betriebsrat) under BetrVG; no termination is valid without it | HR Director | Works Council has 1 week for ordinary and 3 days for extraordinary termination |
| 4 | Check of special protection (section 4.3) | HR | Before notice is issued |
| 5 | Written notice signed by a Managing Director; handed over in person against receipt or delivered by courier | HR | After a completed hearing |
| 6 | Exit conversation, offboarding (section 5), reference | HR, IT, Facilities | Until the last working day |

### 4.3 Special protection

Some employees are protected from termination by law or only with approval of an authority: employees during pregnancy and until 4 months after the birth, employees in parental leave (Elternzeit), severely disabled employees, and members of the Works Council. HR checks this in every case, and Legal confirms the process before notice is issued.

### 4.4 Severance and support

There is generally no automatic entitlement to severance pay. We may agree a severance payment in a settlement or termination agreement, and in cases of larger restructurings we agree a social plan (Sozialplan) with the Works Council. Where possible, we also help employees who lose their job for

operational reasons to find new work, for example with outplacement advice and time off for job interviews. The company informs the employee about the obligation to register with the employment agency (Agentur für Arbeit) as a job seeker within 3 days after receiving notice.

### 4.5 Vacation, final pay and works agreements

Remaining vacation is taken before the last working day where possible. If this is not possible, it is paid out under the Federal Vacation Act (BUrlG) with the final salary, regardless of the reason for termination. Sick leave is not paid out. Final pay, any outstanding expenses and the employment documents (including the tax and social security documents) are issued by HR and Finance with the last salary run on the last working day of the month. Binding works agreements with the Works Council apply.

### 4.6 Your responsibilities as a manager

If you manage team members, avoid unlawful dismissal. Before you propose a termination for conduct or performance, make sure you have accurate performance and disciplinary records and have followed the steps in section 2. Talk to HR first, and do not announce a termination to the employee or the team before the process is complete.

## 5 Offboarding checklist

| Task | Responsible | When |
|---|---|---|
| Written confirmation of last working day | HR | Within 2 working days of notice |
| Handover of tasks, customer contacts and open tickets in ServiceNow | Line manager | Before the last working day |
| Return of laptop, phone, badge, keys and company vehicle | Employee, Facilities | Last working day |
| Deactivation of accounts, Microsoft 365 access and VPN | IT (Jonas Keller) | End of the last working day |
| Remaining vacation clarified; time and flexitime accounts balanced | HR, line manager | Last 4 weeks |
| Final pay, tax and social security documents, certificate of employment (Arbeitsbescheinigung) | HR, Finance | Last working day |
| Written reference | HR, line manager | Within 10 working days of the last working day |
| Exit conversation (voluntary for employees) | HR | Last 2 weeks |
| Reminder of continuing confidentiality duties (NS-LEG-POL-001) | HR | Exit conversation |

## 6 References

Every employee is entitled to a written reference (Arbeitszeugnis) when the employment ends, whether the employee resigned or was terminated, and to an interim reference during employment if there is a good reason. We issue a qualified reference, which assesses performance and behaviour, on request, and a

simple reference confirming role and duration if you prefer. The reference is truthful and written in a benevolent style. HR prepares the draft with the line manager and issues the reference within 10 working days after the last working day.

Future employers receive information about you only with your consent.

## 7 Key contacts

| Topic | Contact | Email | Ext. |
|---|---|---|---|
| Resignations, offboarding, references | HR team | hr@norvane.example | 2000 |
| Policy owner | Julia Neumann, HR Director | julia.neumann@norvane.example | 2001 |
| Contracts, payroll, final pay | Jordan Ellis, HR Generalist | jordan.ellis@norvane.example | 2020 |
| Counselling (EAP) | Mariam Haddad | eap@norvane.example | 2010 |
| Works Council (Betriebsrat) | Thomas Bauer | betriebsrat@norvane.example | 2500 |
| Legal review, data protection | Dr. Nadia Petrov | privacy@norvane.example | 2600 |
| Ethics hotline | Dr. Nadia Petrov | ethics@norvane.example | 2650 |
| Account deactivation, devices | Helpdesk (Jonas Keller) | helpdesk@norvane.example | 3000 |
| Keys, badges, vehicles | Markus Vogel | markus.vogel@norvane.example | 6100 |

## 8 Related documents

| Document ID | Title | Relevance |
|---|---|---|
| NS-HR-POL-001 | Code of Conduct | Standards of behaviour |
| NS-HR-POL-002 | Leave and Absence Policy | Vacation payout, sick leave, parental leave |
| NS-HR-POL-004 | Workplace Policies (v2.1, effective 01.01.2026) | Harassment and complaints |
| NS-HR-POL-005 | Employee Handbook – Overview and Introduction | Section 8 summarises this policy |
| NS-IT-POL-001 | Information Security Policy | Return of devices, access deactivation |
| NS-LEG-POL-001 | Data Protection Policy | Personnel file and confidentiality |

## 9 Version history

| Version | Date | Author | Change |
|---|---|---|---|
| 1.0 | 01.09.2024 | Julia Neumann | First issue |
| 1.1 | 01.07.2025 | Jordan Ellis | Added tuition and relocation repayment rules |
| 1.2 | 01.01.2026 | Julia Neumann | Aligned with Employee Handbook v1.2 |
| 1.3 | 01.07.2026 | Julia Neumann | Added offboarding checklist and job-seeker registration notice |

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